



Country Partnership Strategy

INTERNAL

August 2024

Philippines, 2024–2029 —Building Strong Foundations for a Prosperous, Inclusive, and Climate-Resilient Future

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Asian Development Bank

CURRENCY EQUIVALENTS

(as of 1 August 2024)

Currency unit	–	peso/s (₱)
₱1.00	=	\$0.0171
\$1.00	=	₱58.53

ABBREVIATIONS

ADB	–	Asian Development Bank
BARMM	–	Bangsamoro Autonomous Region in Muslim Mindanao
COVID-19	–	coronavirus disease
CPS	–	country partnership strategy
GDP	–	gross domestic product
LGU	–	local government unit
MSMEs	–	micro, small, and medium-sized enterprises
PEFA	–	Public Expenditure and Financial Accountability
PFM	–	public financial management
PPP	–	public–private partnership
TA	–	technical assistance

NOTE

In this report, “\$” refers to United States dollars.

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COUNTRY AT A GLANCE

COUNTRY AT A GLANCE					
Economic	2019	2020	2021	2022	2023
GDP (\$ billion, current)	376.8	361.8	394.1	404.4	437.1
GDP per capita (\$, current)	3,512.3	3,312.7	3,580.0	3,644.8	3,906.1
GDP growth (% , in constant prices)	6.1	(9.5)	5.7	7.6	5.5
Consumption (annual % change)	8.2	(3.0)	8.7	13.6	10.2
Investment (annual % change)	3.9	(39.3)	31.1	32.5	4.3
Consumer price index (annual % change)	2.4	2.4	3.9	5.8	6.0
Overall fiscal surplus (deficit) (% of GDP)	(3.4)	(7.6)	(8.6)	(7.3)	(6.2)
Total revenue (% of GDP)	16.1	15.9	15.5	16.1	15.7
Tax revenue (% of GDP)	14.5	14.0	14.1	14.6	14.1
Merchandise export (\$) growth (annual % change)	2.9	(9.8)	12.5	6.4	(4.1)
Merchandise import (\$) growth (annual % change)	(0.2)	(20.2)	30.5	19.0	(5.0)
Current account balance (% of GDP)	(0.8)	3.2	(1.5)	(4.5)	(2.6)
External debt (% of GDP)	22.2	27.2	27.0	27.5	28.7
General government gross debt (% of GDP)	39.6	54.6	60.4	60.9	60.1
Reserves (\$ billion)	87.8	110.1	108.8	96.1	103.8
Average exchange rate (local currency unit/\$)	51.8	49.6	49.3	54.5	55.6
Poverty and Social	Earlier Year		Latest Year		
Population (million)	102.5 [2016]		111.9 [2023]		
Population growth (annual % change)	1.7 [2016]		0.9 [2023]		
Unemployment rate	5.4 [2016]		4.3 [2023]		
Population with access to electricity (%)	89.6 [2015]		96.7 [2022]		
Maternal mortality ratio (per 100,000 live births)	94 [2016]		154 [2023]		
Infant mortality rate (below 1 year/per 1,000 live births)	21.0 [2017]		22.0 [2022]		
Life expectancy at birth (years)	71.3 [2015]		72.2 [2022]		
Mean years of schooling	10.0 [2016]		10.3 [2022]		
Completion rate for primary education	84.0 [2015]		99.6 [2022]		
Child stunting (% below 5 years old)	33.4 [2015]		23.2 [2022]		
Population below poverty line (%)	23.5 [2015]		15.5 [2023]		
Proportion of population using safely managed drinking water services	46.3 [2015]		47.9 [2022]		
Proportion of population using:					
(a) safely managed sanitation services	55.8 [2015]		62.7 [2022]		
(b) a handwashing facility with soap and water	81.6 [2015]		81.8 [2022]		
Environment	Latest Year				
Carbon dioxide (CO2) emissions (million tons of CO2 equivalent)	260.0 [2022]				
Carbon dioxide (CO2) emissions per capita (tons of CO2 equivalent per person)	2.2 [2022]				
Forest area (million hectares)	7.2 [2020]				
Urban population (% of total population)	48.3 [2023]				
Renewable energy share in total final energy consumption	28.0 [2021]				
ADB Portfolio (active loans and ADF grants)	As of 31 December 2023				
Total number of loans and ADF grants					
Sovereign	25				
Nonsovereign	10				
Total loan and ADF grant amount (\$ million)					
Sovereign	10,749.85				
Nonsovereign	244.80				
Disbursements (sovereign)					
Disbursed amount, total (\$ million, 2023)	2,125.324				
Disbursed amount, excluding policy-based lending (\$ million, 2023)	725.324				
Disbursement ratio, excluding policy-based lending (%)	20.21				

() = negative, [] = latest year for which data are available, ADB = Asian Development Bank, ADF = Asian Development Fund, GDP = gross domestic product.

Sources: Philippine Statistics Authority; SDG Watch (November 2023); Statistical Indicators on Philippine Development (StatDev); Philippine Development Report 2023; Bangko Sentral ng Pilipinas; Expanded National Nutrition Survey 2022; Department of Energy; Department of Environment and Natural Resources; World Bank World Development Indicators; ADB Key Indicators 2024; ADB Basic Statistics 2024; Climate Watch.

I. COUNTRY PARTNERSHIP STRATEGY SNAPSHOT

1. **Opportunities.** The Philippines, with its vibrant economy and reform-oriented government, is on the cusp of a transformative era, ready to ascend to upper middle-income status. The country is among the fastest-growing economies in the region, boosted by a robust investment grade rating and increased public spending, which have attracted more foreign direct investment. An ambitious agenda for economic liberalization and strong reform momentum, particularly in climate change response and private investment enhancement, positions the Philippines to fully realize its long-term development potential. At the same time, the partnership between the Philippines and the Asian Development Bank (ADB) has reached an all-time high, with the Philippines emerging as one of ADB's largest client countries and a testament to flourishing collaboration.

2. **Challenges.** However, the Philippines confronts complex challenges that could derail its growth trajectory. Among the most significant are its high vulnerability to climate change, which disproportionately affects the poor, and persistent poverty and income inequality, especially in the agricultural sector and remote areas. The country's burgeoning youth population presents a demographic boon, yet the full potential of this human capital remains untapped due to shortcomings in education, health, job creation, and innovation investment. Inadequate infrastructure and logistics services, structural impediments, along with lagging competitiveness and investment, stifle private sector-led growth.

3. **Strategy.** This Country Partnership Strategy (CPS) for the Philippines, 2024–2029, is ADB's commitment to bolster support and address key constraints. The CPS aims for a prosperous, inclusive and climate-resilient future with a focus on human development, economic competitiveness and quality infrastructure, while boosting nature-based development and disaster resilience. These priorities are complemented by crosscutting initiatives that promote digital transformation, gender equality, and improved governance and institutional capacity. The strategy is underpinned by comprehensive climate change and private sector development plans, which outline specific actions ADB will undertake during the CPS period. The strategy's implementation will adapt as needed to the rapidly evolving development landscape.

4. **Approach.** ADB's commitment to the Philippines is reflected in its strategic approach, which is designed to amplify impact, provide additionality, and leverage partnerships. ADB will bring to bear its full suite of support modalities, financial and nonfinancial, in an integrated manner and as "One ADB." ADB will shore up human capital investments towards greater inclusion and poverty reduction. ADB will be responsive to the increased demand for financial support and strengthen efforts to leverage its financing by attracting private sector investment, catalyzing official cofinancing, and applying innovative financing approaches. In collaboration with government agencies, local communities, and other development partners, ADB will co-create solutions that are tailored to the unique needs of the country. As the region's climate bank and building on ongoing deep dialogue on climate policy reform in the Philippines, ADB will embed climate actions across its engagements, strengthening sector-level policy frameworks and integrating climate actions into investment plans to achieve climate finance commitments. ADB will work to catalyze private sector-led development through support for policy and regulatory reforms, strengthening of markets and investment pipelines, and expanding availability of finance. Leveraging innovative financing models and advanced technologies, ADB will pave the way for groundbreaking projects in the green energy transition and urban development. With a forward-thinking approach, ADB is poised to catalyze transformative change driving the Philippines toward a prosperous, inclusive, and climate-resilient future.

II. COUNTRY DEVELOPMENT CONTEXT

5. **Economic performance.** The Philippines' economy was strong prior to the coronavirus disease (COVID-19) pandemic, and fiscal support and accommodative monetary policy facilitated a quick rebound from the 9.5% contraction in 2020. Growth, averaging 6.3% of gross domestic product (GDP) experienced from 2021 to 2023, is projected to remain strong through 2025, putting the Philippines among the fastest-growing economies in Southeast Asia. Prudent monetary management has fostered financial and price stability conducive to balanced and sustainable economic growth. Strong macroeconomic fundamentals, an active services sector (62% of GDP), and robust private consumption (buoyed by a dynamic labor market and remittances from overseas Filipino workers) have fueled rapid economic growth and associated job creation.¹

6. The government's first Medium-Term Fiscal Framework 2022–2028 underscores a commitment to fiscal consolidation, debt sustainability, and increasing domestic revenue, while allocating at least 5% of GDP annually to infrastructure spending.² Although large deficits incurred during the pandemic have raised government debt levels (60.1% debt-to-GDP in 2023, up from 39.6% in 2019) and constrained fiscal space, the government remains on a path to fiscal sustainability with a targeted deficit of 3.7% of GDP by 2028 (down from 7.3% in 2022 and 6.2% in 2023).³ Domestic debt accounts for 68.5% of the total debt, mitigating vulnerability to foreign exchange shocks.

7. **Poverty and inequality.** Persistent poverty remains a challenge in the Philippines. An extended period of steadily declining poverty, coinciding with sustained economic growth, was interrupted as COVID-19 drove the poverty incidence to 18.1% in 2021, an increase of 2.3 million poor people over the 2018 level. Government social transfers helped reduce poverty and mitigate the impact of COVID-19, leading to poverty subsequently declining to 15.5% in 2023. Income inequality has improved (the Gini index fell to 41.2 in 2021 from 42.7 in 2018) but remains one of the highest in Southeast Asia. Poverty incidence among agricultural households is about twice that of the rest of the population. Notable regional disparities exist, with 2021 data showing higher poverty rates in Mindanao (27.7%), where armed conflict has been a factor, and the Visayas (24.6%), which is particularly vulnerable to typhoons. The formation of the Bangsamoro Autonomous Region in Muslim Mindanao (BARMM) in 2019 following a peace agreement, offers an opportunity to further reduce poverty.

8. **Gender.** The Philippines has made significant progress in gender equality, ranking 25th out of 146 economies in the World Economic Forum's 2024 Global Gender Gap Report. However, persistent gaps remain. Women's labor force participation is held back by factors including cultural norms, limited affordable childcare, and a lack of family-friendly workplace policies, while women's jobs are more likely to be informal and low-paying. The female labor force participation rate was lower at 52.8% in October 2023 compared to 75.0% for men. In addition, access to quality education and health care services for women and girls, particularly in rural and marginalized communities, needs improvement. The maternal mortality ratio remains high at 154 (per 100,000 live births) in 2023 and the quality of maternal health services is uneven across regions and

¹ During 2018–2023, remittances averaged 9% of GDP, reaching \$37.2 billion in 2023.

² Government of the Philippines, National Economic and Development Authority. 2024. [DBCC Joint Statement: Review of the Medium-Term Macroeconomic Assumptions and Fiscal Program for FY 2024 to 2028 – April 4, 2024](#).

³ The fiscal deficit rose to 7.6% of GDP in 2020 and 8.6% of GDP in 2021 on substantial spending to offset the effects of the pandemic and associated mobility restrictions.

socioeconomic groups. High levels of unmet family planning needs and increasing adolescent pregnancies contribute to poor maternal and infant health outcomes.

9. Robust social protection has the potential to reduce vulnerabilities, lift recipients out of poverty, and facilitate a dignified and productive life. To fully leverage the advantages of a modern social protection system and enhance service delivery, the government has developed the Social Protection Plan 2023–2028.⁴ Already, over a third of the population benefits from at least one social protection benefit.⁵ The Social Protection Plan recognizes the importance of coordinating and combining existing social protection programs to provide sufficient coverage to vulnerable households across their life cycle to better build resilience and foster productive employment. Delivery systems require further development and coordination to ensure they are equipped to respond to changing needs, for instance to support the poorest and most vulnerable communities in coping and adapting to long-term climate change. The Philippines is also witnessing a rising incidence of hunger and food insecurity driven by external shocks, with the government prioritizing social assistance programs such as the flagship conditional cash transfer *Pantawid Pamilyang Pilipino Program* (4Ps) and the *Walang Gutom* (Zero Hunger) 2027 Food Stamp Program, both supported by the ADB.

10. **Human capital.** There is significant disparity in human capital development across the Philippines, with children born in poorer regions having fewer opportunities to achieve their full potential. The Human Capital Index, which measures the impact of human capital on future growth prospects, indicates the future productivity of a child born in 2020 would be 48% below what could have been achieved with access to full health services and a complete education.⁶ Despite improved health inputs, improved health outcomes remain elusive. The Universal Health Care Act of 2019 facilitated broader participation and access to health services. However, governance, leadership, and management of health care are weakened by fragmentation between national and local levels, technical capacity requires further strengthening, and overall health security remains weak. Concurrently, basic education suffers from inequitable access, and low quality, relevance, and efficiency.⁷ Filipino learners lack the contemporary skills needed for current or future job markets, including skills to work in a green economy, in climate-smart technologies, and in the renewable energy sector. Women are not well represented in science, technology, engineering, and mathematics education. Despite basic education reforms and increased budget allocations, regional inequalities in resources and learning outcomes widened during the pandemic, as the Philippines instituted one of the world's longest school closures. The resultant learning losses will have substantial long-term social and economic implications.

11. **Employment.** The performance of the labor market is constrained by an economic structure where services dominate employment, largely in lower-paying subsectors, while low-productivity agriculture remains a major employer. The manufacturing sector, the biggest industry subsector, has not been fully developed perpetuating low value-added industries. The manufacturing employment share is only 8%.⁸ Therefore, job quality remains a concern, with a third of total employment in vulnerable jobs such as own-account and unpaid family work. The

⁴ Government of the Philippines, Department of Social Welfare and Development. 2023. [Social Protection Plan 2023-2028](#).

⁵ International Labour Organization. 2023. [World Social Protection Data Dashboard](#). Accessed 25 June 2024.

⁶ World Bank. 2023. [Human Capital Country Brief—Philippines](#). The Human Capital Index for the Philippines was 0.52 in 2020.

⁷ Organisation for Economic Co-operation and Development. 2022. [PISA 2022 Results \(Volume I and II\) - Country Notes: Philippines](#).

⁸ Agriculture represented 23.2% of total employment in 2023, services 59.3%, and industry 17.5%.

share of managerial, professional, and technical occupations has declined to 14% of total employment in 2023 from about 21% in 2019. Creating high-quality jobs in manufacturing and high-value-added services is a priority. Additionally, the female labor force participation rate is low, with few women pursuing science, technology, engineering, and mathematics employment, and women-owned enterprises remaining small in scale with limited access to finance. Recognizing the critical importance of a skilled and productive labor force, the government has prioritized investment in education and innovation through the Basic Education Development Plan 2030⁹ and the National Innovation Agenda.¹⁰

12. Business environment and investment. The regulatory burden and complexity remain key challenges to doing business and investing in the Philippines.¹¹ These business environment challenges have three broad elements: (i) complex, opaque, and at times duplicative regulatory standards; (ii) lengthy and often poorly harmonized bureaucratic processes; and (iii) outdated and fragmented digital service channels, systems, and databases. While affecting all businesses, these challenges disproportionately impact micro, small, and medium-sized enterprises (MSMEs), which constitute 99.6% of all enterprises and 65.1% of total employment in 2022, consequently hindering job creation and market competition.¹² The government has in recent years brought renewed focus to strengthening the business environment, in both the Philippine Development Plan 2023–2028 and the government’s 8-Point Socioeconomic Agenda.¹³ The Ease of Doing Business and Efficient Government Service Delivery Act established the Anti-Red Tape Authority.¹⁴ The proposed E-Governance Act will scale key digital platforms including the electronic local government unit or eLGU (a one-stop shop for business registration and permitting at local level). The Green Lanes for strategic investment initiative is accelerating foreign investment in key sectors.¹⁵ These business environment reforms complement recent efforts to liberalize investment and trade, including the opening of several critical sectors to full foreign ownership (including renewable energy, airports, telecommunications, railways, and expressways) and ratification of the Regional Comprehensive Economic Partnership.

13. Financial system. Recent capital markets reforms have helped improve the liquidity in the government bond market and the enlargement and diversification of the domestic financial markets. However, the Philippines’ financial system is smaller than in neighboring economies and is dominated by commercial banks operating a largely traditional model relying on deposits. Lending is largely directed at the conglomerates, limiting MSMEs access to finance (which account for less than 10% of commercial lending). Financial inclusion of MSMEs is hindered by the limited capacity of rural banks and microfinance institutions. Sustainable financing adoption

⁹ Government of the Philippines, Department of Education. 2024. [DepEd’s MATATAG Agenda, BEDP 2030 approved by NEDA Board as National Policy and Plan for Basic Education](#).

¹⁰ Government of the Philippines, National Economic and Development Authority. 2023. [NIC Approves Roadmap Towards a Smart, Innovative Philippines](#).

¹¹ This is corroborated by various rankings of ease of doing business, with the Philippines placing 95 out of 190 economies in Doing Business 2020 by the World Bank, and 88 out of 184 economies in the Heritage Foundation Index of Economic Freedom in 2024. Foreign direct investment remains low relative to regional peers, with often cited barriers including foreign ownership restrictions, heavy regulatory burden, high energy costs, and gaps in transport and logistics infrastructure.

¹² Government of the Philippines, Department of Trade and Industry. [2022 Philippine MSME Statistics](#).

¹³ Government of the Philippines, National Economic and Development Authority. 2023. [Philippine Development Plan 2023 to 2028](#).

¹⁴ Government of the Philippines, House of Representatives. 2017. [Ease of Doing Business and Efficient Government Service Delivery Act of 2018](#).

¹⁵ Government of the Philippines, Philippine Board of Investments. 2023. [Executive Order No. 18 Constituting Green Lanes for Strategic Investments](#).

is in its infancy, with a need to supplement the Philippine Sustainable Finance Roadmap with the institutional infrastructure for implementation and monitoring of sustainability and climate measures.¹⁶ Insurance penetration remains at less than 2% of GDP, driven by poor financial literacy and lack of coverage and access for the general population.

14. **Infrastructure policy.** Decades of inadequate public spending on infrastructure have left the Philippines with a substantial infrastructure deficit, exacerbated by a high degree of vulnerability to climate change and extreme weather events.¹⁷ The government has committed to closing this infrastructure deficit and enhancing climate resilience through its Build Better More agenda, increasing public infrastructure spending to 5.8% of GDP in 2023 from 3.9% in 2016.¹⁸ Reforms including the new Public–Private Partnership (PPP) Code—which unifies fragmented PPP legal frameworks, clarifies the approval process for national and subnational PPPs, and strengthens enabling reforms—and the liberalization of foreign investment regulations (para.12) will support greater private sector investment in quality infrastructure.

15. **Transport, urban, and regional development.** Inadequate urban and regional transport infrastructure and logistics services across the country restrict movement of people and goods, cause congestion, affect air quality, and entrench inequalities. While 82% of passenger transport and 32% of freight transport in the Philippines is by road, 20% of national roads are in poor condition. High logistics costs, driven by insufficient port infrastructure, limited competition in coastal shipping, and inadequate road networks, place the Philippines behind many of its neighbors on quality of logistics.¹⁹ Some key ports have deteriorated due to poor maintenance and need to be modernized, including through private investment, to enable trade and to boost emerging sectors such as offshore wind energy production. Mass transit networks are sub-scale and limited by poor last-mile connectivity. For example, railways currently service only 6% of passenger traffic and less than 1% of freight movements and are limited largely to Metro Manila. Consequently, low public transport uptake drives congestion, resulting in significant economic losses, worsening air pollution, and incremental greenhouse gas emissions. The high concentration of economic activity in Metro Manila worsens overpopulation, straining critical urban infrastructure including water and solid waste management. Improved transport connectivity will be a critical enabler of deeper regional economic integration and wider distribution of economic opportunity. For example, under the flagship Luzon Economic Corridor initiative, an extensive network of new road and rail linkages throughout the National Capital Region, Calabarzon, and Central Luzon (which collectively account for 60% of GDP) is envisioned to underpin the development of new urban and regional centers, decentralize economic activity and population density, and unlock the full potential of alternative logistics hubs in Subic, Batangas, and Bataan.

16. **Energy.** The national energy supply continues to be dominated by coal and oil. The aging transmission infrastructure undermines supply reliability, leading to significantly higher energy costs relative to regional peers and hindering economic competitiveness, particularly in

¹⁶ Government of the Philippines, Bangko Sentral ng Pilipinas. 2022. [The Philippine Sustainable Finance Roadmap](#).

¹⁷ International Institute for Management. 2024. [IMD World Competitiveness Ranking 2024](#). The Philippines ranked 61st out of 67 countries in terms of infrastructure, Thailand 35th, Malaysia 43rd, and Indonesia 52nd.

¹⁸ Government of the Philippines, National Economic and Development Authority. 2023. [Infrastructure Flagship Projects](#).

¹⁹ World Bank. 2023. [Logistics Performance Index](#). The Philippines ranked 43rd out of 139 countries tied with Viet Nam (43rd), higher than Indonesia (61st), though behind Thailand (34th) and Malaysia (26th).

manufacturing.²⁰ To accelerate the transition to clean and more affordable energy, the government has imposed a moratorium on new coal-fired power plants, and targets a 35% renewable share in the power mix by 2030 and 50% by 2040.²¹ Expanding grid capacity, enhancing transmission and distribution efficiency, de-risking emerging renewable technologies (including geothermal, offshore wind, and floating solar), and catalyzing private sector investment are critical, as outlined in the Philippines Energy Plan 2023–2050.²²

17. **Vulnerability to climate change.** The Philippines is highly exposed to climate change, and the World Risk Index has consistently ranked it as the most disaster-prone country in the world.²³ Unaddressed, this exposure could result in annual economic losses of up to 7.6% of GDP by 2030, with a disproportionate impact borne by the poor and marginalized. Successive governments have acknowledged these challenges, but climate action has been slow and uneven. Although its per capita greenhouse gas emissions are still low compared to other developing countries, emissions in the Philippines doubled between 2010 and 2020, mainly due to the energy and transport sectors. Under the Paris Agreement, the Philippines committed to avoid or reduce greenhouse gas emissions by 75% from 2020 to 2030 in its Nationally Determined Contribution (NDC) and has adopted a long-term National Adaptation Plan (NAP). Both plans provide an important opportunity to accelerate climate action, and address weaknesses in cross-cutting planning, institutional and financing systems. Progress is already being made, with the roll-out of the NDC and the NAP, new programs emerging on pursuing a just low-carbon transition, developing carbon markets and supporting a blue economy. Maintaining this momentum will require climate actions to be adequately resourced, systematically implemented, and aligned with sector development activities. This specifically impacts on adaptation action, which requires governments, businesses, and communities to better access climate-related information and build their capacity to plan and design measures to address climate risks. Disaster prevention, reduction, and preparedness need to be strengthened to mitigate the socioeconomic impacts of disasters.

18. **Environmental fragility.** The country has minimal conservation efforts in place, despite having 70% of its population living in coastal areas along its 18,000 kilometers of coastline. Less than 15% of land and less than 3% of marine areas are protected, while marine litter levels are escalating and harming coastal communities and tourism. The country ranked 168th out of 180 economies in the 2024 Environmental Performance Index, which reflects the challenges it faces in environmental protection and natural resource management, including biodiversity conservation, water resources, air quality, and waste management.²⁴ Climate change aggravates local environmental issues, causing coastal erosion, deforestation, and landscape degradation. It also makes climate events and typhoons more intense and frequent, posing risks to coastal infrastructure, livelihoods, and ecosystems. Environmental degradation, climate change, and disaster risk also affect the performance of key sectors such as agriculture and tourism.

19. **Agriculture and food security.** Agricultural productivity remains low due to deficiencies in agricultural value chains, and the Philippines ranks 67th out of 113 countries in the 2022 Global

²⁰ In 2019, the Philippines reported the fourth-highest retail electricity prices along with the third-lowest net installed electricity capacity and the lowest per capita electricity generation in the Association of Southeast Asian Nations (ASEAN).

²¹ Government of the Philippines, Department of Energy. 2020. [Power Development Plan 2020-2040](#).

²² Government of the Philippines, Department of Energy. 2023. [Philippines Energy Plan 2023-2050](#).

²³ Bündnis Entwicklung Hilft. 2023. [WorldRiskReport 2023](#).

²⁴ Yale Center for Environmental Law & Policy. [2024 Environmental Performance Index](#).

Food Security Index, primarily due to inadequate infrastructure and logistics.²⁵ Unsustainable land use and farming practices degrade soil fertility and increase vulnerability to climate-related hazards. Without investment in climate-smart agriculture, climate change could raise hunger risk by 8% by 2030 and 12.8% by 2050.²⁶ Water resource management is inefficient and unsustainable, with only 67.5% of irrigable land receiving adequate irrigation. Integrated planning is crucial, alongside infrastructure improvements in flood-prone areas. Overfishing, outdated equipment and technologies, and inadequate postharvest and storage facilities have led to low product quality and losses that expose coastal ecosystems and communities to risk. Rising temperatures are expected to reduce marine fishery catches by a quarter by 2050.²⁷

20. **Governance and public sector capacity.** Public sector governance and capacities have been incrementally strengthened through successive administrations, and improvements in policy and regulatory arrangements are evident. Nonetheless, the government continues to grapple with institutional and technical constraints to mobilizing adequate fiscal resources and converting them into efficient service delivery. According to the 2016 Public Financial Management and Accountability Assessment (PEFA), the government's aggregate expenditure for the period covered varied by 85%–115% of the original budget.²⁸ The variance highlights the challenges in maintaining fiscal discipline and adhering to the parameters set in fiscal policy directions. Likewise, domestic resource mobilization efforts are insufficient to achieve the Sustainable Development Goals because of the country's narrow tax base and outdated tax administration systems. The 15.6% tax-to-GDP ratio in 2022, albeit an improvement from 12.4% in 2010, is considerably below the Asia and Pacific average of 17.8% and the Organisation for Economic Co-operation and Development (OECD) average of 25.2%.²⁹ With the accelerated fiscal decentralization under the Mandanas-Garcia Supreme Court Ruling, many local government units (LGUs), especially those in remote regions, continue to face absorptive capacity constraints in delivering public services devolved to them.³⁰ Corruption remains a concern among citizens and civil society organizations. The country was ranked 115th among 180 economies in the 2023 Corruption Perception Index by Transparency International, due in large part to citizens' limited participation and voice in public financial management (PFM) processes.³¹

21. **Digitalization.** Despite a young population and high mobile penetration, there is only limited uptake of digital delivery of services, both public and private. Inadequate infrastructure, insufficient market competition, and outdated policy and regulatory frameworks impact access to, and prices of, internet services. The National Broadband Plan aims to lay the backbone of connectivity networks across the archipelago, but this needs to be supported by licensing and market reforms. Likewise, the PhilSys national ID system already captures 96% of target registrants as of July 2024, but it is crucial to enhance the registry's utility by making more public services available. Digital service provision in health, education, taxation, business registration, or financial services, offers significant quality and cost benefits. However, these need

²⁵ Government of the Philippines. House of Representatives. 2022. [Performance of ASEAN Member States in the Global Food Security Index 2018-2022](#). No. 67.

²⁶ World Food Programme. 2021. [Philippine Climate Change and Food Security Analysis](#).

²⁷ Government of the Philippines. Department of Agriculture. 2018. [Projected Climate Change Impacts on Philippine Marine Fish Distributions](#).

²⁸ World Bank. 2016. [Public Financial Management and Accountability Assessment: Philippines](#).

²⁹ Organisation for Economic Co-operation and Development. 2024. [Revenue Statistics in Asia and the Pacific 2024](#). Paris. The above tax-to-GDP ratios exclude social security contributions.

³⁰ The Supreme Court Ruling confirmed in 2019 stipulated that the just share from national taxes of the LGUs should not be based solely on national internal revenue taxes but on all national taxes. It mandated the inclusion of customs duties and other national taxes in the computation of the revenue allotments for LGUs beginning in 2022.

³¹ Transparency International. 2023. [Corruption Perception Index 2023](#).

complementary investment in cyber security and data management, as well as increased capacity to manage the systems.

III. COUNTRY STRATEGY FRAMEWORK

A. Lessons from Previous Strategy

22. During the CPS 2018–2023 period, ADB has substantially stepped up its support to the Philippines, bringing country engagement to an all-time high. The country has become one of the largest recipients of ADB sovereign support, with lending quadrupling compared to previous CPS periods.³² The Philippines is the single largest client for ADB’s PPP support modalities and is a growth market for ADB’s nonsovereign operations. The CPS also saw the deployment of new and innovative models for delivery of quality infrastructure. These included the Infrastructure Preparation and Innovation Facility³³ and ADB’s first policy-based loan on climate change,³⁴ both instrumental in deepening client engagement in reforms and investment.

23. The Independent Evaluation Department validated ADB’s country assistance program in the Philippines for 2017–2023 as *successful* and provided recommendations that shaped the preparation of this CPS.³⁵ These recommendations advocate for creating stronger linkages between upstream policy support and downstream project investments, enhancing climate action and disaster preparedness, and better integration of nonsovereign operations. In addition, given the challenges posed by some development constraints (e.g., infrastructure, education, and social protection), ADB should continue supporting these areas while sharpening the focus. Additionally, increasing staff and expertise in ADB’s country office is recommended, to match the growing portfolio size and complexity. Periodic interim assessments and learning from program implementation are needed to provide valuable inputs to assess the need to reorient programs. The Infrastructure Preparation and Innovation Facility could be replicated beyond the current transport and water sectors to enhance government capacity, and ADB should seek more opportunities to engage with LGUs as their responsibilities grow with increased devolution.

B. National Development Strategy

24. The Philippines’ long-term vision *AmBisyon Natin 2040*, outlines the quality of life Filipinos aspire to, aiming for a prosperous middle-class society free of poverty by 2040.³⁶ The Philippines Development Plan 2023–2028 sets out policy priorities to achieve deep economic and social transformation, reinvigorate job creation, and accelerate poverty reduction following the COVID-19 pandemic. Framed by the administration’s 8-point socioeconomic agenda, priorities include: (i) protect the purchasing power of families by ensuring food security and reducing transport,

³² Average annual sovereign lending to the Philippines during 2018–2023 was \$2.85 billion compared to \$678 million during 2011–2016. ADB’s portfolio has significantly expanded, with an active sovereign portfolio of about \$9.6 billion across 24 projects by the end of 2023.

³³ ADB. 2018. [Infrastructure Preparation and Innovation Facility](#); ADB. 2019. [Infrastructure Preparation and Innovation Facility \(Additional Financing\)](#) and ADB. 2023. [Infrastructure Preparation and Innovation Facility, Second Additional Financing](#).

³⁴ ADB. 2022. [Climate Change Action Program, Subprogram 1](#).

³⁵ Independent Evaluation Department. 2023. *The Philippines: Validation of the Country Assistance Program Review, 2017–2023*. ADB. ADB’s self-evaluation of the Philippines CPS 2017–2023 and the Independent Evaluation Department’s validation both piloted a new approach and methodology. Formerly called the CPS final review, the self-evaluation is now called the Country Assistance Program Review.

³⁶ Government of the Philippines, National Economic and Development Authority. [AmBisyon Natin 2040](#).

logistics, and energy costs; (ii) ensuring sound macroeconomic fundamentals by improving bureaucratic efficiency and sound fiscal management; (iii) reducing vulnerability and mitigating the impact of the COVID-19 pandemic by tackling health, strengthening social protection, and addressing learning losses; (iv) creating more jobs by promoting investment, improving infrastructure, and ensuring energy security; (v) creating quality jobs by increasing employability, encouraging research and development and innovation, and enhancing the digital economy; (vi) creating green jobs by pursuing a green and blue economy, and establishing livable and sustainable communities; (vii) upholding public order and safety, peace, and security; and (viii) ensuring equal opportunity by strengthening market competition, and reducing barriers to entry and limits to entrepreneurship. These priorities have decisively shaped the development of this CPS.

C. Role of Development Partners

25. The government's comprehensive development framework and donor coordination mechanism guide all development actors, including ADB. ADB programs and projects have played a pivotal role in facilitating coordinated efforts and serve as a cornerstone for other development partners providing technical and financial assistance. ADB has been instrumental in catalyzing partner engagement, particularly in infrastructure development through the Infrastructure Preparation and Innovation Facility (footnote 33), PFM reforms, and climate change policy coordination. ADB coordinates and collaborates closely with other development partners. It works with government oversight agencies to address emerging challenges within the official development assistance portfolio, especially concerning land acquisition and resettlement issues in infrastructure projects. ADB remains committed to mobilizing cofinancing from development partners including through the Association of Southeast Asian Nations (ASEAN) Catalytic Green Finance Facility under the ASEAN Infrastructure Fund. For PPPs and nonsovereign operations, ADB leverages its convening power and strategic partnerships to attract interest, expertise, technology and capital from private sector sponsors, financiers, and advisors to support the government's sustainable development strategies.

D. ADB's Strategic Objectives and Operational Priorities

26. **Strategy.** The overarching goal of ADB's CPS 2024–2029 is to support the government in forging a prosperous, inclusive and climate-resilient future, fostering robust economic growth and enhancing inclusivity. It prioritizes critical development and social needs through three strategic priorities: strengthening human development; boosting economic competitiveness and quality infrastructure; and scaling up nature-based development and disaster resilience. The priorities will be supported by crosscutting themes aimed at fostering digital transformation, strengthening governance and institutional capacity, and promoting gender equality. The figure depicts the CPS framework. The CPS is fully aligned with the country's national priorities, ADB's Strategy 2030,³⁷ and the Philippines' global commitments under the Paris Agreement,³⁸ and the 2030 Agenda for Sustainable Development.³⁹

27. **Approach.** ADB will engage at three key levels for each strategic priority: (i) upstream, fostering an enabling environment through policy dialogue, analysis, and knowledge

³⁷ ADB. 2018. [Strategy 2030: Achieving a Prosperous, Inclusive, Resilient, and Sustainable Asia and the Pacific](#).

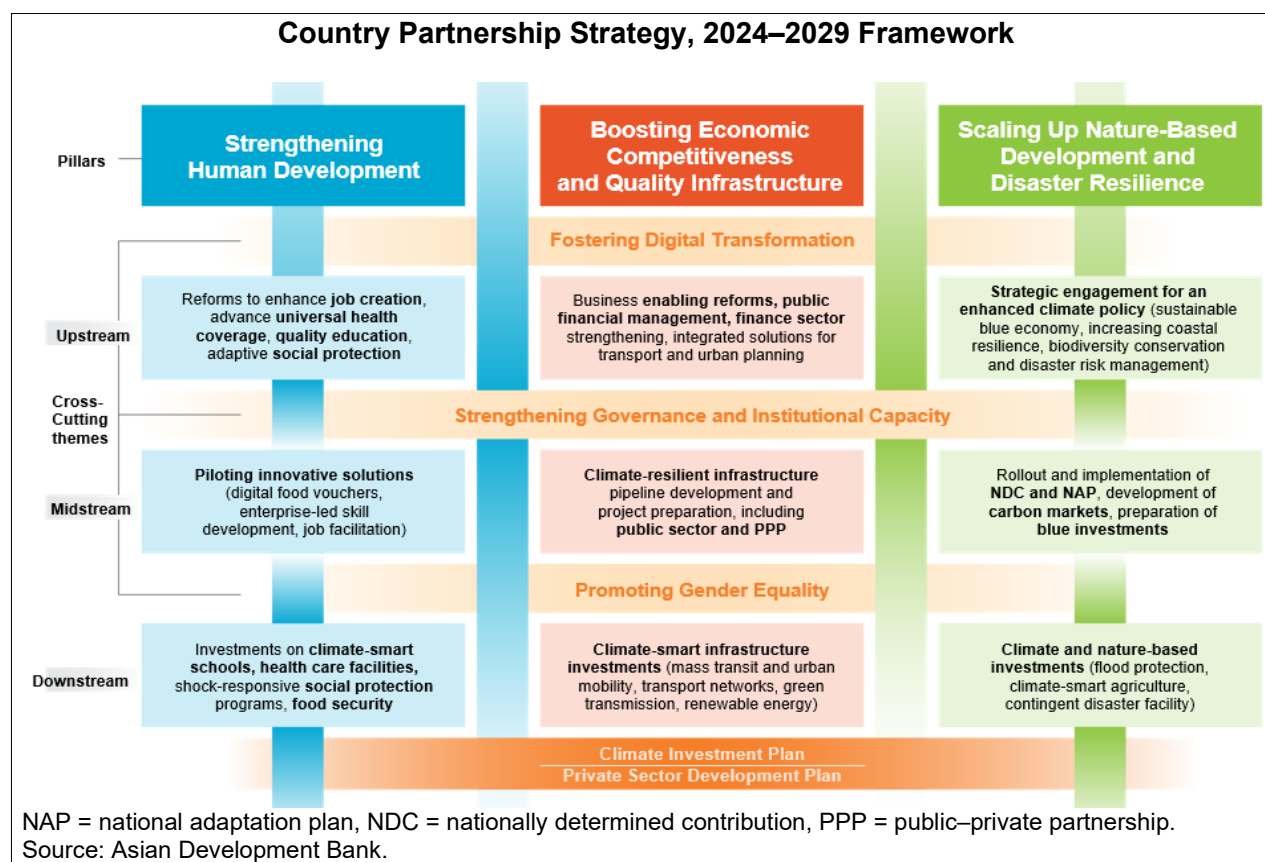
³⁸ Republic of the Philippines. 2021. [2022 United Nations Framework Convention on Climate Change. Nationally Determined Contribution, Philippines](#).

³⁹ United Nations. 2015. [The 2030 Agenda for Sustainable Development](#).

exchange; (ii) midstream, building institutional capacity within and between organizations to support necessary interventions; and (iii) downstream, providing financing for strategic investments to achieve tangible and measurable impacts. ADB will build on the successes of the previous CPS, 2018–2023, particularly in infrastructure development and social investments. ADB will deliver high-impact, innovative, knowledge-driven, and integrated solutions that leverage ADB's products, expertise and policy dialogue to address increasingly complex infrastructure and social challenges. Given the evolving nature of the Philippines' development trajectory, ADB will adopt a differentiated approach in its program by: (i) intensifying efforts on human capital development, especially targeting the bottom income households; (ii) promoting regional economic growth corridors through flagship infrastructure investments (ports, railways, logistics and supply chain improvements) with a view to attracting private sector participation; and (iii) shifting focus to emerging sectors like energy, blue economy, and nature-based investments.

28. **Climate shift.** Acknowledging the widespread impact of climate change across all sectors, the CPS and the related country program will sharpen ADB's focus on enhancing climate action throughout the economy. This entails embedding climate considerations in each strategic priority and leveraging policy advice, knowledge work, and increased financing. Key policy reforms supported by strategic investments will strengthen the country's resilience to climate and natural hazards as provided in the Country Climate Investment Plan (Annex 5).

29. **Private sector development shift.** The CPS is closely aligned with the government's drive to attract foreign investment and foster private sector engagement in the economy. Drawing from a comprehensive assessment of the country's private sector, four distinct pathways have been identified under the Country Private Sector Development Plan (Annex 6), linked to the CPS pillars: (i) accelerating a private sector-led green energy transition; (ii) catalyzing private sector participation at the urban and subnational level; (iii) supporting a strong, inclusive, and sustainable financial system; and (iv) deepening digital transformation and ease of doing business. Furthermore, ADB will actively promote PPPs in transport systems, clean energy, agriculture, and healthcare. Building on the relatively mature Philippines' PPP ecosystem, ADB aims to extend PPPs to LGUs, employing models that optimize their use to enhance the quality of sovereign operations. ADB is seeing a resurgence of its private sector operations in the Philippines. ADB will continue to build on this momentum and leverage ADB's upstream efforts to build investment pipelines in key sectors aligned with this CPS, including energy, finance, urban services, and telecommunications.



1. Strategic Priority 1: Strengthening Human Development

30. ADB will intensify efforts to enhance Filipinos' capabilities and readiness for the future, aiming to make growth more inclusive and resilient to climate and other shocks.

31. **Universal health coverage.** ADB will continue to support universal healthcare reforms by improving access to health services, integrating health information systems, developing human resources for health, and enhancing strategic purchasing in the health sector. ADB will also work to improve access to medicines, medical devices, and primary care through financing investments in upgrading government health facilities. ADB will also bolster the disaster resilience of health infrastructure and reduce carbon emissions from government and private hospitals. ADB will provide technical guidance to health financing, service delivery, regulatory reforms, and digital health innovations. ADB will explore opportunities for nonsovereign financing with private pharmaceutical companies, hospital chains, and other private health entities to improve health service access.

32. **Strengthen basic education.** A demographic advantage awaits as the country's youth matures but realizing this dividend requires investments in education to ensure that the growing workforce is skilled and employed. ADB will strengthen foundational skills and the practical relevance of secondary education, to improve student learning outcomes and enhance their employability (including regional employment opportunities), through curriculum development and credible learning assessment systems. ADB will also explore education technology for learning and digitalizing the education system to improve quality and resilience. Initiatives include: developing digitalized, interactive teaching and learning materials; implementing computer-based assessment system; enhancing internet connectivity in schools; and improving teacher's

professional capacity. ADB will also enhance education subsidy programs which promote the private sector's role, especially in senior high school, to increase quality education opportunities for students from poorer households. Selected secondary schools will be transformed into climate-smart, green schools through solar power, creating a conducive learning environment.

33. **Enhance social protection systems.** ADB will focus its lending and technical assistance (TA) on three key areas aligned with the Social Protection Plan 2023-2028 (footnote 4). First, ADB will support the government's flagship social assistance programs, namely *Walang Gutom* (Zero Hunger) 2027 Food Stamp Program, to promote food security, nutrition, and human capital development, and the conditional cash transfer *Pantawid Pamilyang Pilipino Program* (4Ps). Support for the Food Stamp Program will aim to expand coverage to poor and vulnerable, food-insecure households while enhancing implementation systems and capacities. Under the 4Ps program, efforts will concentrate on improving health, nutrition, and education outcomes, guided by rigorous impact evaluation and information technology reform. Both programs are implemented in regions with the highest poverty rates including in the BARMM. Second, ADB will assist the government in strengthening the linkages between social assistance, community development, and sustainable livelihood programs to provide pathways out of extreme poverty. Finally, ADB will advocate for social protection in climate adaptation and resilience, supporting community-driven development initiatives and enhancing systems for adaptive and shock-responsive social protection.

34. **Promote quality employment.** ADB will promote quality employment by strengthening and expanding employment facilitation services and labor market activation programs. It will establish stronger linkages between skills development systems and employment, particularly through industry-led training to meet current and future job skill requirements and address digital disruptions in key industries like business process outsourcing due to artificial intelligence. Additionally, ADB will promote green jobs by promoting policies that encourage sustainable practices and investments in green industries. Measures will ensure a fair and inclusive transition to a more sustainable and environmentally friendly economy, particularly for workers and communities at risk of adverse impacts.

35. **Harness innovation and efficiency.** ADB will support the development of an innovation strategy to prepare for Industry 4.0 and the future of work, fostering innovation and technology adoption, including artificial intelligence. Efforts will focus on creating an innovation ecosystem to spur research and development and cultivate new technology-related skills. Strengthening the Philippines' research and innovation capacity will help drive industrial transformation, facilitate a just transition to green technologies, and promote digitalization among MSMEs.

2. Strategic Priority 2: Boosting Economic Competitiveness and Quality Infrastructure

36. ADB will enhance competitiveness through improving the business-enabling environment, public service delivery, and financial management. ADB will fortify its focus on climate-smart infrastructure to enhance connectivity among regions and boost competitiveness. It will stimulate private sector participation to support flagship infrastructure projects and regional development.

37. **Expand domestic resource mobilization.** ADB will help address decentralization challenges by strengthening local governance and PFM and enhancing the resilience of regional and local economies to ensure equitable distribution of growth benefits. Initiatives will aim to increase domestic resource mobilization and establish a robust PFM system conducive to private sector involvement in public services and climate-resilience investments. ADB will also support

strategies to digitalize tax administration, align the tax system with the digital economy, and introduce measures for environmental sustainability and climate action. Additionally, it will deepen and broaden capital markets with a focus on liquidity, sustainability, and promoting green financial flows, while providing LGUs with more revenue sources and improved access to capital markets.

38. Improve the business environment and investment climate. ADB will help the government create a conducive business environment to attract domestic and foreign investment. This includes simplifying regulatory frameworks, streamlining business-related systems and procedures, establishing investment green lanes for priority sectors, and accelerating digital government capabilities. Building LGU capacity for local investment planning and promotion will be a priority. ADB will help develop financing products tailored to the needs of MSMEs and cooperatives, leveraging reforms to improve the ease of doing business.

39. Deliver climate-smart transport networks. Significant investments in regional transport infrastructure can spur more balanced geographical growth. ADB will adopt a comprehensive approach to foster such investments, encompassing policy support, rigorous project preparation, institutional capacity building, and direct infrastructure investments. Building on its long association with the Philippine PPP Center, ADB will develop a pipeline of bankable projects at the national and local government levels that integrate climate and gender considerations.

40. ADB will assist in developing climate-resilient regional transport master plans to establish efficient, safe, and low-carbon public transport systems and road networks that reduce travel time and promote economic development outside highly urbanized centers. Assistance will include driving green economic development in regions where ADB finances transport infrastructure.⁴⁰ ADB will support the Department of Public Works and Highways and the Department of Transportation to enhance their capacity in delivering high-quality project preparation, meeting environmental and social safeguard requirements, conduct procurement, and establishing effective financial management systems. These efforts aim to increase the government's capacity to absorb support, ensuring steady, high-quality assistance for priority projects throughout implementation. ADB-financed investments will focus on climate-smart mass public transportation systems and road networks, including bridges integrating climate mitigation and adaptation design features aligned with the Paris Agreement. ADB will also commit additional resources to rehabilitate national roads and bridges, adapting them to climate change. ADB's infrastructure support strategy will optimize the combination of sovereign, nonsovereign, and PPP advisory operations to maximize value for the government.

41. Promote affordable, accessible, reliable, and clean energy. ADB's support will concentrate on four areas. First, it will help scale up renewable energy using advanced technology, as well as de-risking early-stage private sector geothermal investments and expanding climate-resilient transmission systems to accommodate growth in renewable energy sources like offshore wind. Second, ADB will promote the transition away from coal through an energy transition plan, regulatory frameworks, and financing mechanisms, alongside transaction advisory services to facilitate the early retirement or repurposing of coal-fired power plants. Third, ADB will enhance access to clean and reliable electricity in remote areas by reducing reliance on oil for power generation and improving the capacity of LGUs and institutions to manage and distribute power effectively. Finally, ADB will promote energy efficiency and conservation through smart demand-side energy management.

⁴⁰ These areas include Bataan, Clark, and other parts of Luzon, eastern Visayas, and Mindanao.

42. **Catalyze regional development.** Building on improved regional connectivity and access to affordable, reliable, and clean energy, ADB will support the development of new regional centers and economic corridors for urban development, logistics, tourism, and industry. This approach will bolster efforts to generate quality jobs. For example, the Bataan-Cavite Interlink Bridge and North-South Commuter Railway projects, both part of the Luzon Economic Corridor, will deepen regional integration and catalyze the emergence of new regional centers in the Greater Manila Bay area. ADB will view transport infrastructure as a driver of sustainable urban and economic development, engaging with governing bodies of affected areas to support their growth aspirations. This includes exploring land value capture mechanisms to finance infrastructure projects and enhance urban planning. Finally, building on successful projects such as the Ninoy Aquino International Airport rehabilitation, ADB will continue developing and applying models for asset monetization and recycling in critical sectors, to mobilize private capital and create new revenue streams for government.

3. **Strategic Priority 3: Scaling Up Nature-Based Development and Disaster Resilience**

43. ADB will integrate nature and nature-based solutions into relevant economic sectors to mitigate the loss of biodiversity and ecosystem services in land and marine environments.

44. **Support national and sectoral climate policy articulation.** ADB will focus on comprehensive government planning, policy-making, and regulatory frameworks. The objective is to mobilize financing for a just transition to a low-carbon economy, bolster climate adaptation, ensure food security, and protect biodiversity. ADB will concentrate on building institutional planning, policy, and regulatory capacity across climate-related agencies, including the Climate Change Commission. This includes support for developing and implementing the nationally determined contribution, long-term sector strategies, implementation plans, climate risk assessment tools, knowledge products, and exchanges with international climate agencies.⁴¹ For instance, ADB will assist the Department of Energy in enhancing its capacity to formulate master plans for clean energy investments by the private sector and in remote areas. Support will also be extended to the Department of Environment and Natural Resources to establish environmental safeguards for the renewable energy sector and strengthen enforcement of biodiversity protection measures. ADB will collaborate closely with government to innovate disaster risk financing and insurance approaches.

45. **Integrate climate mitigation and adaptation in natural resources, agriculture, and food security investments.** Climate adaptation investments will integrate infrastructure and nature-based solutions for flood risk management across major river basins. Efforts will include rehabilitating irrigation systems to enhance water efficiency and supporting agribusiness value chains through initiatives like private sector investments in vertical farming and greenhouses, aimed at producing high-value, nutritious food crops resilient to climate challenges.⁴² ADB is advising on the development of a national food hub PPP model to establish a centralized facility for secure distribution, storage, and processing of agricultural products. Adaptive measures in agriculture will enhance food security, increase farm incomes, protect assets, and reduce

⁴¹ In addition, ADB will help government agencies and offices prepare plans to achieve net-zero emissions from their own operations and to increasingly promote the adoption of green public procurement when contracting for goods, services, and works.

⁴² Agribusiness value chain investments will include investments in strengthening coordination among the government, research institutions, the private sector, and farmers to provide quality research and development initiatives, animal and plant health support services, and farming extension services.

community vulnerability to extreme weather events. These climate adaptation investments will enable smallholder agribusinesses to diversify production, spread climate risk across income streams, and reduce reliance on climate-sensitive livelihoods.

46. Strengthen capacity and enabling environment for sustainable coastal and marine management. The support will adopt a program-based approach to achieving the dual objectives of safeguarding oceans and coastal areas while enhancing the role of these ecosystems in sustainable development. Key areas of support will include: integrated coastal management and the development of fishery value chains; community-based solid waste management; systems for collecting plastic waste to tackle marine pollution; and policies for natural capital accounting to support informed decision-making. For example, ADB will advocate for policies that promote sustainable fisheries and sustainable tourism.

47. Enhance systems for disaster resilience and response. ADB will assist the government in enhancing policies and institutional frameworks for disaster risk reduction and management to transition from emergency response to disaster preparedness, resilience, and financial protection. ADB will provide support through national and subnational planning processes and by designing essential infrastructure aimed at safeguarding communities and enhancing their resilience to ongoing threats to lives and livelihoods. ADB will also explore collaborative approaches with civil society to strengthening national systems for managing exposure to risks, including adopting community-based strategies for climate adaptation and mitigating natural hazards.

4. Crosscutting Priorities

48. Drive digital transformation for inclusive growth. ADB will assist the Philippines in enhancing efficiency, productivity, and transparency across government and business by promoting inclusive and sustainable digital transformation. This includes supporting the digitalization of PFM and tax administration and advocating a whole-of-government approach to integrate sector-specific digital solutions and initiatives with digital public infrastructure. ADB will also aid in bridging the digital divide and upgrading digital infrastructure to: (i) connect geographically isolated and disadvantaged areas; (ii) promote shared infrastructure; and (iii) attract more private sector investments in telecommunications, such as broadband, mobile towers, and energy-efficient data centers. ADB will strengthen policy frameworks and investment opportunities through sovereign and nonsovereign operations. With new enabling policy frameworks, ADB will collaborate with the Department of Information and Communications Technology and other relevant agencies to sustain reform momentum and foster cross-sector collaboration and harmonization.

49. Unlock gender equality for greater empowerment of women. ADB will promote gender equality by: (i) addressing women's time poverty through interventions to improve workplace policies to address women's multiple roles and enable their employment and entrepreneurship; (ii) mainstreaming prevention of gender-based violence and addressing sexual exploitation, abuse, and harassment across ADB's operations; (iii) addressing health-related issues such as malnutrition and adolescent pregnancy through education, training, and health and social protection programs; and (iv) strengthening gender mainstreaming in climate policies and actions.

50. Enhance governance and institutional capacity for improved efficiency, accountability, and transparency in public financial management. ADB will provide support across sectors and modalities to enhance governance systems and capacities. This will involve a focus on four areas: (i) strengthening policies to enhance fiscal sustainability and accelerate

digital governance, including e-government solutions to improve service delivery and institutional strengthening; (ii) enhancing procurement processes and budget utilization for large infrastructure projects, including through e-procurement reforms; (iii) bolstering frameworks for private sector participation, particularly at the LGU level building on the recently enacted PPP code and its Implementing Rules and Regulations; and (iv) designing and helping implement PFM reform strategies, and capacity building to implement and manage reforms. For example, as part of a multistakeholder initiative, ADB is supporting the assessment of government effectiveness and PFM using the PEFA methodology, including supplementary assessments on climate change, disaster risk management, and gender responsive PFM. In the BARMM, ADB will continue to support the establishment of PFM systems and regulatory frameworks and build capacity to use these.

E. Priorities for Knowledge Support

51. ADB's knowledge agenda will closely align with the CPS's strategic and crosscutting priorities, focusing on operationally relevant solutions with strong government ownership, and closely coordinated internally in ADB and with external partners. Knowledge support will stretch from addressing local and regional development topics, through national issues, to regional cooperation and integration priorities. ADB will assist the government in: (i) designing policies and programs to enhance human development outcomes through insights and evidence-based analysis; (ii) sharing best practices and innovative solutions for natural resource management, climate change mitigation, and disaster resilience; (iii) strengthening institutional capacity to effectively implement projects, policies, and programs; and (iv) enhancing the quality and availability of data and analytical tools to inform decision-making and policy formulation. The link between knowledge generation and pipeline development will be strengthened to ensure projects can address urgent challenges, incorporate regional best practices, and scale innovative solutions. Lessons learned, including practical insights gained from portfolio implementation, will inform the development of future projects.

IV. STRATEGY IMPLEMENTATION

A. ADB Financing and Cost-Sharing Arrangements

52. The Philippines qualifies solely for ADB's regular market based ordinary capital resources (OCR) lending. Sovereign lending for 2024–2029 is expected to total \$24 billion. There is potential for lending to move above this level given substantial government demand and premised on increased OCR availability. In such considerations, ADB will be cognizant of the single country limit and any changes in the assessed low risk of sovereign debt stress in the medium term.⁴³ ADB's program is designed to pave the way toward gradually increased nonsovereign financing and PPPs, allowing the government to reduce the current level of public infrastructure investment by the end of the CPS period. The country's cost-sharing ceiling for loans and grants, as well as TA projects, will be set at up to 99% on a portfolio-wide basis. Specific cost-sharing arrangements will be determined.

⁴³ International Monetary Fund (IMF). 2023. [Philippines: 2023 Article IV Consultation-Press Release; Staff Report; and Statement by the Executive Director for Philippines](#).

B. Implementation Priorities

53. **Responsiveness as One ADB.** ADB will advance the CPS's objectives through integrated solutions, leveraging synergies across sectors and themes. In response to evolving client needs and priorities, ADB will deploy its full range of sovereign and nonsovereign financing modalities, transaction advisory services, along with its TA-based capacity building and knowledge solutions. ADB will execute a portfolio of transformative policy and investment operations aimed at developing large-scale or complex infrastructure and supporting strategic reforms. Policy-based loans, founded on thorough diagnostics and dialogue, will support reforms to create a basis for deeper dialogue, coordination and programming of investment and results-based lending among other products and modalities.

54. **Enhancing project readiness and implementation.** Because of the country's large and complex portfolio that involves technically challenging greenfield investments with complex procurement and safeguard requirements, ADB will enhance portfolio performance by focusing on high project readiness at entry through improved project preparation quality and addressing project implementation issues. ADB will respond to systemic challenges by accelerating procurement, and focusing attention on social and environmental safeguards requirements, financial compliance issues, and right-of-way acquisition. ADB will provide support to build and supplement the institutional capacity of implementing agencies and project management offices. TA activities will be customized for each agency to cover project budgeting, early preparation of safeguards documents (especially related to land acquisition), and early procurement action to enhance project readiness. Regular portfolio performance reviews will be conducted to discuss, and update agreed performance improvement action plans. Support modalities such as Project Readiness Financing, Small Expenditure Financing Facility, and TA will be utilized to include experts within agencies to provide tailored training sessions, build capacity for new agencies, and conduct joint high-level project visits.

55. **Mobilizing ADB staff resources for effective program delivery.** ADB's Philippines Country Office has been strengthened to manage the growing volume and complexity of operations. Additional efforts during the CPS period will focus on enhancing staff resources dedicated to the Philippines to support program coordination, portfolio implementation, and the delivery of high-quality financial and knowledge support in core sectors and themes.

C. Monitoring of Results

56. ADB will use the results framework in Annex 3 to assess CPS implementation and monitor progress toward targeted results. ADB will monitor and evaluate its contributions in project review and completion reports. Outcome indicators focus on the main results expected from ADB-financed operations during the CPS reporting period. The results framework will be adjusted during the CPS midterm update.

D. Risks

57. **External shocks.** The Philippines is vulnerable to external shocks from factors including geopolitical uncertainties, economic volatility, and natural hazards. Such events trigger economy-wide impacts on government revenue and trade and supply chains, amplifying commodity price volatility and inflationary pressures, and in the case of natural hazards destroy infrastructure, livelihoods, and lives. ADB will closely monitor these developments to identify and mitigate emerging risks to its portfolio. ADB will build disaster resilience, for example through using contingent disaster financing and investments in flood mitigation. This will be complemented by

building human capacity and ensuring disaster resilient infrastructure which will improve long-term productivity and mitigate supply pressures. ADB's focus, for example on food security, agribusiness, and logistics development aims to improve long-term productivity, enhance resilience, and mitigate supply pressures.

58. **Political economy.** ADB recognizes the complex operating environment in the Philippines including multiple layers of government, inconsistent policy implementation, elite capture, and vested interests. The CPS's focus on governance reforms, PFM, infrastructure development, and local service delivery will directly address these concerns. The country's midterm elections in 2025 and national elections in 2028 could challenge policy continuity and the project delivery focus. *AmBisyon Natin 2040*, covering successive development plans, should help mitigate this risk. ADB will build on its long-term engagement in the Philippines by continuing policy dialogue with government counterparts and other stakeholders to understand policy priorities and adjust programs as necessary.

59. **Government capacity.** Government's ambitious reform and investment agenda, including delivery of the ADB-financed portfolio, are confronting the challenge of overcoming capacity constraints at national and local levels. The CPS addresses this by: (i) advocating for enhanced project readiness filters and screening processes for official development assistance projects to streamline government approvals; (ii) convening government agencies to coordinate on key implementation barriers such as land acquisition and resettlement; and (iii) coordinating with the Department of Budget and Management to institutionalize personnel recruitment changes to strengthen longer-term project management and contract supervision.